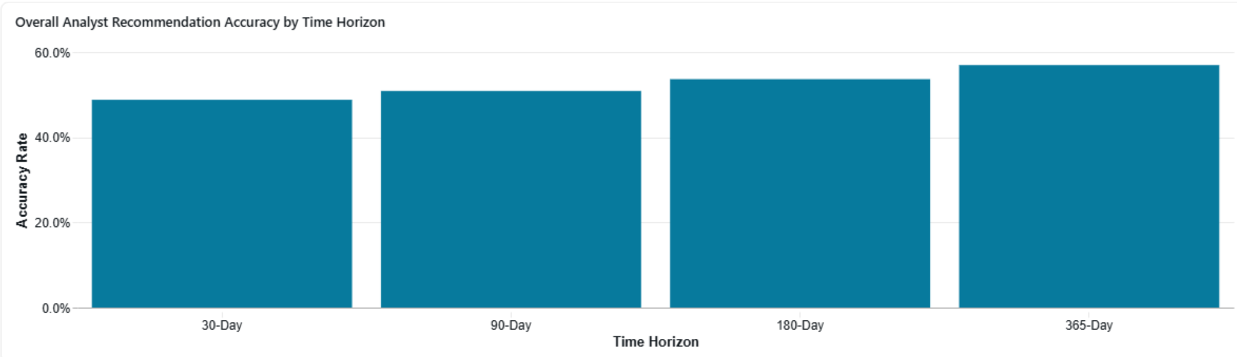
Analyst Recommendation Accuracy Rates

Overall analyst recommendation accuracy is **57.0% at the 365-day horizon**, based on 102,310 recommendations with accuracy data. Accuracy improves over longer time periods, rising from 48.8% at 30 days to 57.0% at 365 days.



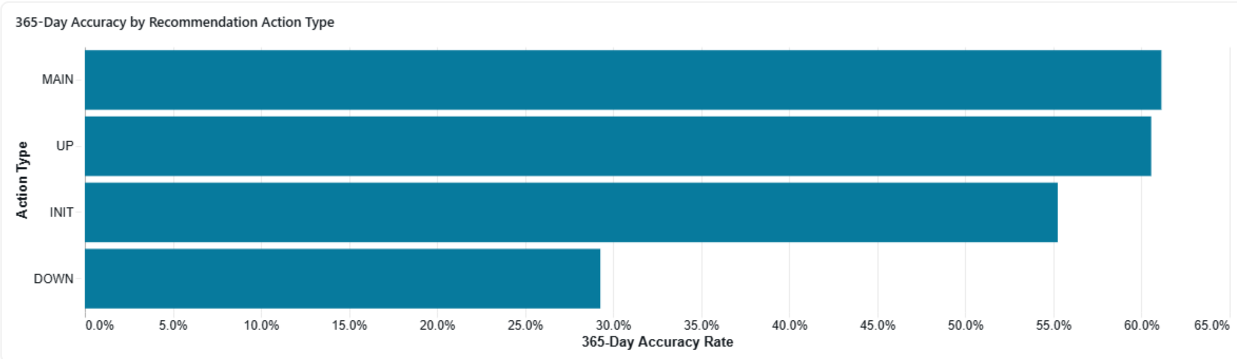
Key Findings

Accuracy Improves Over Time:
Analyst recommendations become more accurate over longer time horizons:

- **30-Day**: 48.8% accuracy (56,910 accurate out of 116,592)
- **90-Day**: 50.9% accuracy (57,887 accurate out of 113,769)
- **180-Day**: 53.7% accuracy (59,056 accurate out of 110,064)
- **365-Day**: 57.0% accuracy (58,283 accurate out of 102,310)

This pattern suggests that while short-term market movements are harder to predict, analyst recommendations have better directional accuracy over the long term.

"Maintain" Recommendations Most Accurate:
At the 365-day horizon, **"Maintain" (MAIN) recommendations are most accurate at 61.1%**, followed closely by **"Upgrade" (UP) at 60.6%**. "Initiation" (INIT) recommendations achieve 55.2% accuracy. Notably, **"Downgrade" (DOWN) recommendations have only 29.3% accuracy**, suggesting analysts struggle to correctly predict which stocks will underperform.



Downgrades Are Least Accurate:
The low accuracy of downgrades (29.3% at 365 days) is particularly striking. This means that **over 70% of downgraded stocks actually moved in the opposite direction** of what the downgrade implied. This could reflect analysts being too pessimistic, or stocks recovering after temporary setbacks.

Slightly Better Than Random:
While 57% accuracy at 365 days is better than a coin flip (50%), the modest outperformance suggests that analyst recommendations provide limited predictive value, particularly in the short term. The improvement to 61% for maintains and upgrades is more meaningful but still indicates significant room for error.